Research Briefing | Eurozone

France's fiscal situation is increasingly mirroring Italy's

- **France has joined Italy as markets' main source of worry in the eurozone due to its ballooning fiscal deficit. The French government's debt-to-GDP ratio is rising and is not projected to stabilise until around 2030. This is due to political gridlock and failure to implement meaningful fiscal consolidation measures. But underlying debt conditions are much more favourable in France than in Italy because France has higher growth potential and lower debt servicing costs.**
- **Italy, with a debt-to-GDP ratio of 135%, has very limited room to absorb any negative economic shocks. But the Italian government seems a bit more cognisant of these risks, as reflected in its recent medium-term fiscal plan. While France's public debt is lower at 110% of GDP, major reforms would be needed to curb its persistent structural fiscal deficit to ensure long-term fiscal sustainability. France's divided politics make such reforms extremely difficult to implement.**
- **The political instability that was once a hallmark of Italian politics now seems to be a worrying and possibly lasting feature of the French landscape. While Italy's current government appears poised to govern until the next elections in 2027, in France, Barnier's administration remains fragile and snap elections may take place as early as next year.**
- **Nevertheless, France's growth prospects are stronger than Italy's thanks to better demographics and a more favourable productivity outlook. Meanwhile, Italy faces severe structural challenges, including an aging population, lower educational attainment compared to its peers, and sluggish investment – all of which will keep its potential growth rate close to zero.**
- **Our modelling shows that, in France, an abrupt fiscal adjustment triggered by bond market stress, similar to the one that happened in Italy in 2011, would have a large negative impact on growth. In this scenario, GDP would peak 1.6ppts below our baseline forecast. Meanwhile, an ambitious but gradual fiscal consolidation would stabilise debt with only minimal output losses.**

Our analysis shows that the French political and fiscal outlook is increasingly resembling Italy's. This is not a compliment. Political instability increases risks to the fiscal outlook and makes consolidation uncertain, which should keep French bond yields high in the short term. At the same time, French growth prospects remain among the best in the eurozone (**Table 1**). Coupled with a low effective interest rate on its existing stock of debt, this means that France could stabilise its debt ratio despite running a primary deficit of around 1.5% of GDP, limiting debt sustainability risks. As such, a gradual but steady fiscal consolidation would be sufficient to place the French debt-to-GDP ratio on a downward trajectory by 2029.

Table 1: The political environment is now a major headache for France

	France	Italy
Fiscal situation	There is no easy political path towards durably bringing down a 6% deficit that is now mainly structural. High risks surround the gradual fiscal consolidation plannned by the government in its latest medium-term, with public debt continuing to increase in the foreseeable future.	Public debt, severely inflated by the fiscal incentives to the construction sector, will increase over the next few years and hover around 140% of GDP until the end of the decade. The government, in the presentation of its medium-term national plan, committed to a multiannual, but gradual, fiscal consolidation path.
Political environment	The current Barnier government is weak and unstable. New snap elections are likely from July 2025. Meanwhile, the 2027 presidential election is not guaranteed to bring back stability.	The current Meloni government will very likely govern for its whole 5-year term. This will give some stability to a country which has often seen political instability as one of its main problems.
Growth prospects	A rebound in consumer spending and monetary policy easing should lead to a moderate economic rebound in the next few years. In the medium term, France's potential growth should remain slightly above 1% thanks to favourable demographics and recent structural reforms.	In the next few years Italian growth is seen around 1%, driven by a combination of monetary easing and NGEU-related expenditure. However, Italy faces severe structural challenges, including an aging population, lower educational attainment compared to its peers, and sluggish investment, all of which will keep its potential growth rate close to zero.

Source: Oxford Economics

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In the short term, Italy's fiscal consolidation will be faster

France and Italy stand out as the two most fiscally vulnerable economies in the eurozone. While this situation is not new for Italy, France had seldom faced this degree of market scrutiny until now. The yields on France's 10-year government bond yield is only 50bps lower than Italy's, highlighting the poor state of France's public finances. The spread between the two has fallen sharply since the beginning of this year, when it was above 110bps, and is now at its lowest level since 2010.

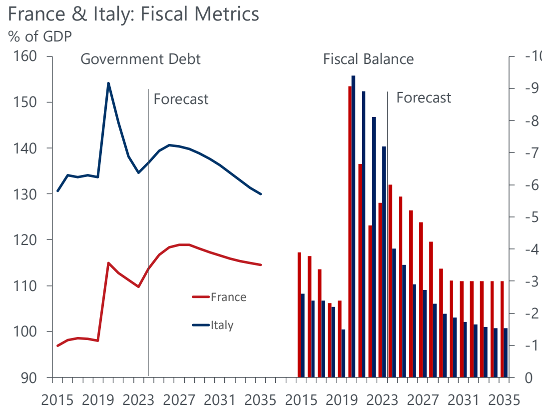
France's fiscal outlook is durably deteriorated. The government deficit is set to exceed 6% of GDP in 2024. France now faces the prospect of structural fiscal consolidation of more than €100bn to bring its deficit back below 3%. The budget plan submitted by the government aims to bring the deficit down back to 5% of GDP in 2025 through a balanced mix of tax increases and expenditure reduction. Based on the government's new medium-term plan, fiscal consolidation would continue, with the deficit set to decrease below 3% of GDP by 2029.

However, the government's deficit forecast should be viewed with a healthy dose of scepticism given France's poor track record in meeting its fiscal commitments. The goal to bring the deficit back to 5% of GDP in 2025 is unlikely to be achieved due to the lack of a clear parliamentary majority to pass the budget and the fact that planned expenditure cuts are poorly documented so far. Further deficit reduction efforts will only be harder in the future. The 2025 budget is underpinned by politically expedient measures, such as a temporary tax increase on large corporates and high-income individuals, but it does not set a path for sustained deficit reduction. Meanwhile, the key 2027 presidential election will further deter the implementation of politically difficult austerity measures.

In Italy, the government's medium-term plan, which was presented at the end of September by the Meloni government, projected a multi-annual, albeit gradual, fiscal consolidation. The government estimates its fiscal deficit will near 3% of GDP next year and 2.8% in 2026, which would allow the primary balance to improve by around 1ppt in two years.

On the other hand, Italy's public debt is severely inflated by the fiscal incentives to the construction sector and tax credits more broadly. We estimate public debt will amount to around 2% of GDP per year in the 2024-2026 period. This means that public debt as a proportion of GDP will continue to increase until 2027, and this represents the main fiscal worry.

Chart 1: We see Italy pursuing a faster fiscal consolidation



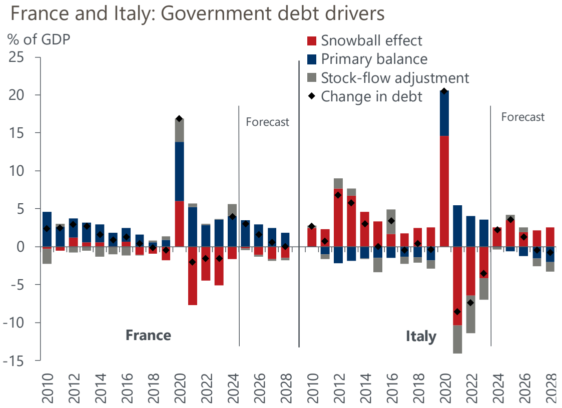
Source: Oxford Economics

We expect Italian debt will return to its pre-Covid level by the end of this decade. While this is not a stellar performance compared to other highly indebted countries, such as Portugal and Greece, it is still substantially better than what we currently expect in our forecast for France (**Chart 1**). French government debt, which increased by around 15ppts of GDP during the pandemic, will not start to decline before 2029. This remains true even under the relatively optimistic assumption that governments can achieve a gradual but steady fiscal deficit reduction of 0.4ppts of GDP each year on average between 2025-2028.

The Italian government's latest estimate projects the country will return to a positive primary balance this year. Meanwhile, France has not achieved a primary surplus since 2001 and is not set to do so. But for Italy, fiscal consolidation is a necessity. A primary surplus will indeed be crucial to put Italy's debt on a sustainable path because the snowball effect – the difference between nominal growth and interest payments – remains unfavourable, given that nominal growth is set to remain subdued (**Chart 2**).

In contrast, France's low effective interest rate on existing debt and resilient growth still allow the country to stabilise or even reduce its debt level, even while running a primary deficit. Though this should remain true in the medium term, the French government does not have much fiscal headroom in case of further negative shocks. Besides, there's no guarantee that the snowball effect will remain favourable, as the opposite was true in the 1990s and 2000s. France's current low effective interest rate results from long-term borrowing during the low-rate 2010s era. However, if France's debt were to be gradually refinanced at current spreads, we estimate that the snowball effect would eventually turn negative.

Chart 2: The snowball effect is responsible for the increase in Italy's debt, but not in France



Source: Oxford Economics/Haver Analytics

In the longer term, we expect the gap between French and Italian bonds to widen again, with French yields declining and stabilising more than 100bps below Italy's. Despite recent pressure, France's sovereign bond market remains much deeper and more liquid than Italy's. This is because France remains a key source of safe assets for eurozone investors due to its still favourable credit rating and core eurozone economy status.

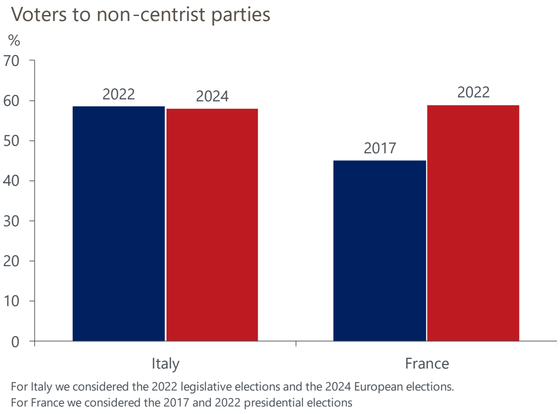
France's political environment has mirrored that of Italy

While the fiscal situation is now comparably fragile in both countries, the political instability that was once a hallmark of Italian politics now seems to have become a worrying feature of the French landscape too.

Prime Minister Meloni has been able to keep her coalition together, despite some diverging views among the government's parties. This means that the Italian government will likely last for the whole five years of the term – the longest in Italy's recent history.

In France, there is no telling how long the current Barnier government will remain in power. The result of an uneasy alliance between Macron's centrist party and the mainstream right, the government also needs the implicit backing of the far right to have an overall majority. As such, it may easily be toppled by a non-confidence vote, with snap legislative elections liable to happen as early as July 2025.

Chart 3: A majority of voters shifted away from centrist parties in both countries



Source: Oxford Economics/Haver Analytics

France's president-heavy two-round election system is traditionally designed to provide more stability than Italy's. But it has recently failed to do so, given the changes in the political landscape. There is therefore no guarantee that the 2027 presidential election will result in stability.

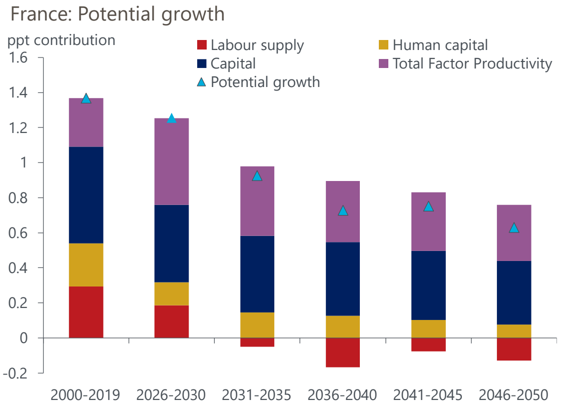
However, while Italy is now enjoying more political stability than France, in both countries most voters favour parties usually seen as extreme (**Chart 3**), posing further risks to debt sustainability.

France's growth outlook is far more favourable than Italy's

There is one clear area where the France's situation is better than Italy's: its underlying growth (**Chart 4**).

Favourable demographics have long supported France's potential growth. The fertility rate in France was 1.7% in 2023 – still markedly above other major eurozone countries, though it has been declining rapidly over the past couple of years. Besides, structural reforms affecting the labour market, pension system, and unemployment benefits have also led to a sustained increase in the labour force participation rate, which now stands at a historically high level of 75.3%, nearly 3ppts higher than the previous all-time high in 2017. As a result, we estimate total employment will not decrease before 2033. And though there are risks to our baseline forecast for total factor productivity, most observers agree that France's potential growth is set to remain slightly above 1% in the medium term.

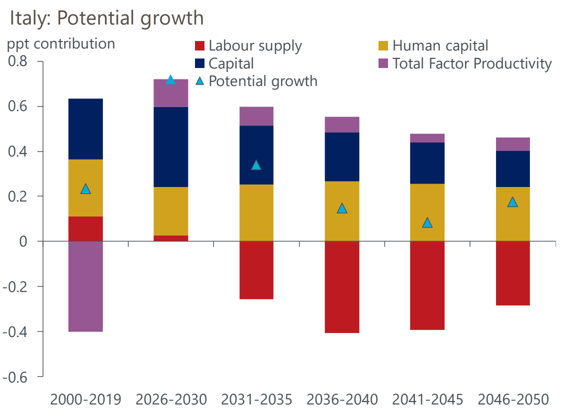
Chart 4: France growth potential is higher than the other large eurozone economies



Source: Oxford Economics/Haver Analytics

On the other hand, Italy faces severe structural challenges, as we've discussed on several [occasions](). Foremost, the combination of a low participation rate and a quickly ageing population will cause labour supply to become the main drag on potential growth (**Chart 5**).

Chart 5: Italy has the poorest growth dynamic in the eurozone



Source: Oxford Economics/Haver Analytics

Higher public and private non-residential investment will add to the stock of physical capital, although not enough to fully offset demographic factors. At the same time, total factor productivity and human capital gains should support potential output. Moreover, our baseline forecast already assumes an improvement in both labour productivity growth and total factor productivity growth for Italy over the medium term – a normalisation after two very negative decades.

France's growth would suffer from an abrupt fiscal adjustment similar to Italy's

In our baseline, France gradually reduces its deficit, but fiscal consolidation remains constrained by gridlocked politics and fails to meet both the government's target and the EU's fiscal rules.

But as history shows, events can quickly turn sour. Bond market stress could force the French government to implement a more abrupt and extensive fiscal consolidation than we expect. Alternatively, there is also a possibility that France successfully manages to conduct an ambitious fiscal consolidation, broadly in line with its new medium-term plan. We ran two scenarios through our Global Economic Model to analyse these alternative outcomes:

1) The first scenario provides an analysis of fiscal adjustment conducted under market pressure, broadly replicating the strict austerity that Italy had to impose in 2011-2012. Italy's primary balance improved to 2.3% of GDP in 2012 from 0.1% in 2010, mainly through tax increases. In this scenario, we assume fiscal consolidation is triggered by a sharp increase in sovereign bond market stress, with the French government spread reaching 200bps before decreasing as the ECB intervenes in the market. Moreover, a drop in household and business confidence amplifies the negative growth impact of financial market stress and a negative fiscal impulse.

2) The second scenario envisages fiscal consolidation that is gradual but quicker than in our baseline. The deficit falls below 3% of GDP in 2029 thanks to a structural improvement of 0.7ppts per year. The adjustment is also more front-loaded than in our baseline, which helps to curb debt. In this scenario, which can be seen as an optimal fiscal consolidation path, the bulk of

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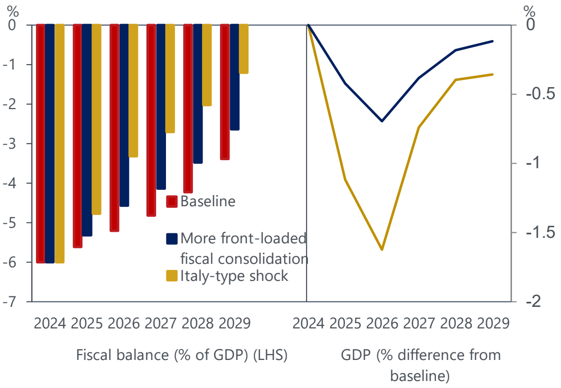
the consolidation comes from expenditure (excluding investment), which accounts for two-thirds of the total adjustment, bringing French government expenditure closer to the eurozone average. Moreover, we assume that markets trust this plan and project the sovereign spread would decrease rapidly to its pre-pandemic level.

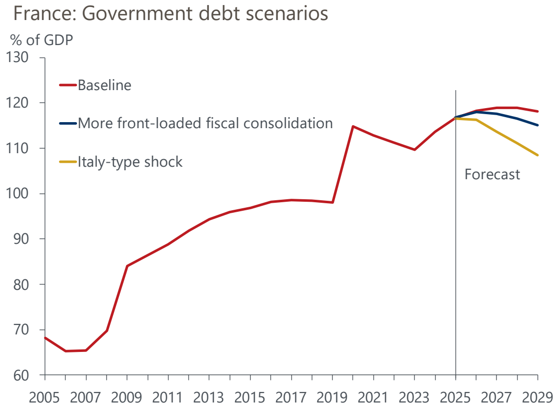
Chart 6: An Italy-type scenario would have a much larger negative impact on growth



Source: Oxford Economics

Unsurprisingly given the large negative fiscal impulse, GDP growth would be worse in these two scenarios than in our baseline. But the negative impact on activity is much larger in the bond market stress scenario, peaking at 1.6ppts of GDP in 2026, while it is only one-third of that in the optimal fiscal consolidation scenario (**Chart 6**). This is mainly a consequence of the compounded negative effect of low confidence on economic activity in the first year of the simulation. Fiscal consolidation in the first scenario is much more extensive, with the fiscal balance reaching almost 1% of GDP by 2029 – a harsher adjustment than fundamentals would require due to market pressure. As such, public debt goes down by 10ppts more than in the second scenario, but this would be at the expense of economic activity (**Chart 7**). Meanwhile, the second scenario demonstrates that frontloaded fiscal consolidation could put French debt on a downward path by 2027, with only a limited impact on growth.

Chart 7: Front-loaded fiscal consolidation could reduce France's government debt as early as 2027



Source: Oxford Economics/Haver Analytics

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